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# Profitability

**Exam code:** 0450, 0986 & 0264, 0774

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## The concept of profitability

- **Profitability is the ability of a business to generate profit compared to the revenue it earns, the assets it uses, or the capital invested**
  - It is a measure of **how effectively** a business **converts sales revenue into profit**
  - It is a measure of **how well capital resources invested in the business generates profit**
- Profitability is expressed in **percentage** form, which allows **comparison of performance over time** and **with other businesses**
- Several **stakeholders** are interested in profitability
  - **Investors** look carefully at profitability when deciding **which business to invest in.** The higher the level of profitability, the higher their rewards are likely to be
  - **Directors** and **managers** consider profitability when **assessing business success** and **determining future objectives** and **strategy**
  - **Employees** may consider profitability as justification for **requesting higher wages** or better working conditions

### Examiner Tips and Tricks

Don't confuse **profit** with **profitability** – profit is the absolute amount earned, while profitability shows how efficiently a business turns revenue into profit. Examiners often test this distinction

**Stuck on something?**

Ask questions and get help with exactly what you're revising.

Got it

- **The gross profit margin shows the proportion of revenue that is turned into gross profit**
  - It is calculated using the following formula and is expressed as a percentage

$$\text{Gross profit margin} = \frac{\text{Gross profit}}{\text{Sales revenue}} \times 100$$

- In general, the **higher the gross profit margin, the better**
  - It demonstrates that a business is effectively adding value

Help me understand

### Worked Example

Head to Toe Wellbeing's revenue in 2024 was $124,653. Its gross profit was $105,731

**Calculate** Head to Toe Wellbeing Ltd's gross profit margin in 2024.

(2)

**Step 1: Substitute the values into the formula**

$$\text{Gross profit} = \frac{\text{Gross profit}}{\text{Sales revenue}} \times 100$$

$$= \frac{\$105{,}731}{\$124{,}653}$$ [1]

$$= 0.8482$$

**Step 2: Multiply the outcome by 100 to find the percentage**

$$= 0.8482 \times 100$$ [1]

$$= 84.82\%$$

- **84.82%** of Head to Toe Wellbeing's revenue was converted into gross profit during 2024

# Ways to improve the gross profit margin

## Increase sales revenue

- **Raise prices**
  - If costs remain the same, this will improve profitability as the **difference between the selling price and costs is now greater**
- **Sell premium products**
  - If customers are willing to spend money on these goods, the business could earn more profit per item sold
- **Price tactics**

of items a customer purchases, increasing revenue

- **Increase marketing activities**
  - Engage in more marketing activities to increase sales volume

## Reduce direct costs

- Direct costs are costs that can be completely attributed to the production of a specific good or services
  - **Reduce variable costs**
    - Source cheaper materials, negotiate with suppliers or **purchase in bulk**
    - Businesses must ensure that reducing variable costs will not have an adverse effect on the quality or desirability of products
    - Buying stock in greater quantities may require more storage space, which could reduce the impact of the cost savings
  - **Reduce wastage** of raw materials and components

# Profit margin

- **The profit margin shows the proportion of revenue that is turned into profit before interest and tax**
  - It is calculated using the formula below and the outcome is expressed as a percentage

$$\text{Profit margin} = \frac{\text{Profit}}{\text{Sales revenue}} \times 100$$

- In general, the **higher the profit margin, the better**
- It demonstrates that a business is effectively managing expenses

### Worked Example

Head to Toe Wellbeing's revenue in 2024 was $124,653. Its profit before interest and tax was $65,864

**Calculate** Head to Toe Wellbeing Ltd's profit margin in 2024.

(2)

**Step 1: Substitute the values into the formula**

$$\text{Profit margin} = \frac{\text{Profit}}{\text{Sales revenue}} \times 100$$

$$= \frac{\$\,65{,}864}{\$\,124{,}653}$$ [1]

$$= 0.5284$$

**Step 2: Multiply the outcome by 100 to find the percentage**

- In 2024, **52.84%** of Head to Toe Wellbeing's revenue was converted into profit

## Ways to improve the profit margin

- The **profit margin** can be improved in two ways
  - Increasing the gross profit margin (see above)
  - Reducing **overhead costs** by reducing staffing levels, relocating to cheaper premises or changing utility companies
    - Reducing staffing levels may affect staff morale and negatively affect **productivity**
    - **Relocation costs** can outweigh some of the benefits of moving to a cheaper location
    - Replacing inefficient or outdated equipment may require staff training

# Return on capital employed (ROCE)

- **Return on capital employed (RoCE) measures how effectively a business uses the capital invested in the business to generate profit**
  - It is **calculated using the formula below and** is expressed as a percentage

$$\text{Return on capital employed} = \frac{\text{Profit}}{\text{Capital employed}} \times 100$$

- RoCE can be **compared over time** and with direct **competitors**
  - It can also be compared with **other potential capital investments,** such as savings rates
  - It is less useful to compare with businesses in contrasting industries

## Interpreting the RoCE

- With RoCE, **the higher the rate the better**
  - This indicates that the business is **profitable** and **using capital efficiently**
    - Investors prefer businesses with **stable and rising** levels of RoCE, as this indicates **low-risk growth** is being achieved
    - A ROCE of **at least 20 percent** is usually a good sign that the company is in a good financial position

### Examiner Tips and Tricks

If required, it is calculated using the formula

$$\text{Capital employed} = \text{Non-current liabilities} + \text{Equity}$$

### Worked Example

The table shows an extract from the company accounts of Keals Cosmetics.

| | |
|---|---|
| Non-current Liabilities | €1.5 million |
| Revenue | €7 million |
| Equity | €15.4 million |
| Profit | €2.2 million |

**Calculate** Keals Cosmetics' return on capital employed.

(3)

**Step 1: Calculate capital employed**

$$\text{Capital employed} = \text{Non-current liabilities} + \text{Equity}$$

$$\text{Capital employed} = €1.5\text{ m} + €15.4\text{ m}$$ [1]

$$\text{Capital employed} = €16.9\text{ m}$$

**Step 2: Divide profit by capital employed**

$$\text{RoCE} = \frac{\text{Profit before interest and tax}}{\text{Capital employed}} \times 100$$

$$= \frac{€2.2\text{ m}}{€16.9\text{ m}} \times 100$$ [1]

$$= 0.13$$

**Step 3: Multiply the result by 100 and express the outcome as a percentage**

$$= 0.13 \times 100$$ [1]
$$= 13\%$$

- Capital employed in Keals Cosmetics has generated a return of **13%**

## Ways to improve RoCE

- To increase the RoCE, a business can
  - **Increase the level of profit** generated **without introducing new capital** into the business
  - **Maintain the level of profit** generated **whilst reducing the amount of capital** in the business

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